

The complaint

Mr M complains that Covea Insurance plc turned down his property insurance claim.

What happened

Mr M is the leasehold owner of a flat. The freeholder took out a property insurance policy with Covea which covered all the flats in the block, including Mr M's.

Mr M moved out of his flat in mid-2023 and intended to sell the property. On 8 January 2024, the estate agent visited the flat to carry out a viewing, and found water ingress in the kitchen that was coming from the flat above. Mr M made a claim under the policy for the water damage to his kitchen.

Covea turned down the claim. It said the policy excluded escape of water claims where a property was vacant or unoccupied. Unhappy with this, Mr M brought a complaint to this service.

Our investigator didn't recommend the complaint be upheld. She thought it had been reasonable for Covea to turn down the claim.

Mr M didn't accept our investigator's findings, and so the matter has been passed to me for a decision.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

The policy covers escape of water, but excludes damage when the premises are vacant or unoccupied.

The policy also says:

'11. Vacant or Unoccupied Premises

It is a condition precedent to Our liability that whenever the Premises or part thereof are Vacant or Unoccupied You will notify Us:

(a) immediately You become aware that the Buildings are Vacant or Unoccupied

(b) of any Damage to the Vacant or Unoccupied Buildings whether such Damage is insured or not

(c) that the Buildings are to be occupied by contractors for renovation alteration or conversion purposes.

The following action must be implemented by You:

(i) an internal and external inspection of the Buildings every 7 days by You or an authorised representative and a written record of such inspections maintained...'

Mr M didn't tell Covea that he'd moved out of the property. Though he told the loss adjuster he checked on the flat every week, and there were also estate agent viewings.

The policy defines vacant or unoccupied as:

'Buildings or part thereof that have become vacant or unoccupied untenanted or which have not been actively used for a period of more than 30 days.'

I've thought about whether the property could be said to be occupied. Mr M didn't live there, or ever stay there. He advised this service though that he regularly visited the property in order to clean up, maintain it, and collect mail. I've looked at pictures taken of the property and I see it was empty with no furniture.

Taking all of this into account, I don't think it can reasonably be said that the property was occupied. Also, the requirement under the policy for *unoccupied* properties is for the insured or their representative to visit once a week, and so it seems to me that visiting once a week wouldn't reasonably amount to the property being occupied.

So, I think it was reasonable for Covea to say the property was unoccupied. Though if Mr M did visit the property once a week, then he would have complied with section (i) of the vacant or unoccupied premises condition.

However, Mr M told our investigator he was last at the property on 22 December 2023, as he went away over the Christmas period to visit family. The evidence from the estate agent is that the last viewing before the loss was discovered was also on 22 December 2023. The escape of water was found 17 days later. So the vacant or unoccupied condition wasn't met.

We don't know when the leak started, though I understand the occupant of the flat above (where the leak originated) wasn't aware of it until the estate agent told them about it on 8 January 2024.

An unoccupied property presents a greater risk to an insurer, and if the flat had been checked every seven days as required under the policy, the damage from the escape of water may well have been less. So I think the property being unoccupied, and the fact that Mr M didn't comply with the vacant or unoccupied condition, was likely material to the loss here.

I recognise Mr M will be disappointed by my decision, but in these circumstances, I find that it was reasonable for Covea to turn down his escape of water claim.

My final decision

My final decision is that I don't uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr M to accept or reject my decision before 14 November 2024.

Chantelle Hurn-Ryan
Ombudsman